

China July trade: AI still the anchor, external risks rise

- *July trade was resilient despite a mild easing. ADP/IC shipments continued to drive high-tech exports, offsetting low-end consumer goods pullback.*
- *Imports slipped slightly after seven months of expansion, led by non-oil commodities, while high-tech imports continued to expand.*
- *Crude imports rebounded on lower oil prices and a brief SoH reopening in late June, but sustainability remains uncertain given China's price sensitivity.*
- *China disclosed a 20% cap on US "replacement tariffs" discussed in bilateral talks, aiming to define boundary and anchor expectations.*
- *AI has become the core US-China battleground and deepening AI-tech decoupling could bring headwinds to China's export outlook.*

China's trade momentum remained resilient in July, with exports matching expectations while imports came in slightly softer. Export growth continued to be anchored by AI-related demand, as robust ADP and IC shipments sustained high-tech export momentum despite weakness in low-end consumer goods and broad-based easing across most markets. On the import side, the July pullback was concentrated in non-oil commodities, while high-tech imports remained firm, likely reflecting continued AI-related demand and price effects.

Headline exports declined 2.9%/m/m sa, partially unwinding June's 5.4% gain. Annual export growth moderated to 23.9%oya (vs. market consensus: 23%, JPM: 24%), while the underlying trend improved modestly to 13.8%3m/3m saar. Imports, after seven straight months of expansion, slipped 1.5%/m/m sa, though annual growth remained robust at 27.5%oya (vs. market consensus: 29.7%oya, JPM: 30.1%). Trend import growth also stayed strong at 33.6%3m/3m saar. The trade surplus widened to US\$112.5bn, bringing the ytd surplus to US\$688bn (vs. US\$681bn in the same period last year).

ADP and IC shipments continued to anchor export momentum, even as exports eased broadly across markets, with Korea the key exception. Exports softened across most major destinations, led by LatAm, Africa, and the US, followed by the EU and Japan. In contrast, exports to EM Asia edged up 0.3%/m/m sa, marking a fourth consecutive monthly gain, driven by a 6.2% increase in shipments to Korea. By product, the pullback was concentrated in low-end consumer goods (textiles, garments, toys, etc.), which declined 2.9%/m/m sa. Mechanical and electrical exports slipped just 0.2%/m/m sa, leaving trend growth strong at 37.1%3m/3m saar. High-tech exports rose 0.4%/m/m sa for a ninth consecutive month, with trend growth remaining elevated at 70.7%3m/3m saar. Within this category, gains in ADP (automatic data processing, +4.4%/m/m sa) and electronic integrated circuits (+0.9%/m/m sa) more than offset a modest decline in mobile phone exports (-1.7%/m/m sa). Auto exports increased 1.3%/m/m sa, keeping annual growth robust at 60.4%oya.

Imports took a pause after seven consecutive months of expansion, despite a rebound in oil imports. After consistently outperforming expectations between

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December and June, with an average monthly run rate of 3.9%, imports slipped modestly in July. This came even as crude oil import volumes surged 23.3%*m/m sa*, reversing much of the sharp decline over the previous three months and narrowing the annual contraction from 41.3% in June to 24.3%. We think the recovery was largely driven by lower oil prices and the brief resumption of Strait of Hormuz shipments in late June. However, China remains highly price-sensitive, and we remain cautious on the sustainability of the rebound. A more durable recovery in oil imports would likely require a sustained reopening of the Strait of Hormuz and oil prices holding around or below US\$70/bbl for an extended period.

Beyond oil, imports of most major commodities, including natural gas, soybeans, iron ore, copper, and coal, softened on the month. Mirroring the pattern in exports, high-tech imports rose 4.5%*m/m sa*, though the strength likely continued to reflect price effects, as annual growth in memory chip and module import volumes had already turned negative in recent months. By origin, the July slowdown was led by Australia, Brazil, the EU, and the US, partly offset by a 6.4%*m/m sa* increase in imports from EM Asia, driven by Korea, ASEAN, and Taiwan, alongside modest gains from Japan.

China disclosed a 20% US tariff cap amid ongoing uncertainties

The Trump administration has shifted from IEEPA to Section 122 and now Section 301 as the legal basis for maintaining a baseline tariff regime. The current Section 301 framework imposes 10-12.5% tariffs on 60 major trading partners under a forced-labor investigation. A separate Section 301 investigation into industrial overcapacity could pave the way for additional tariffs, serving both as negotiating leverage and an enforcement mechanism for trade agreements. Against this backdrop, China's [Ministry of Commerce](#) disclosed on 27 July that the US had committed during bilateral talks to cap the "replacement tariffs" on Chinese goods at 20%. By highlighting this ceiling, Beijing appears to be defining the boundaries of future tariff escalation, anchoring expectations and limiting downside risks while keeping trade negotiations on track amid persistent uncertainty over the broader US tariff agenda.

AI now the core US-China battleground

Recent US moves suggest it is broadening tech restrictions on China from advanced chips to wider AI ecosystem. The FCC has effectively [barred](#) imports of new Chinese humanoid and quadruped robot models, as well as power inverters, citing cybersecurity, surveillance, and critical infrastructure risks. Chinese firms such as Unitree, Huawei, and Sungrow are potentially in the crosshairs. The next target appears to be AI infrastructure itself. The FCC is [reportedly drafting restrictions](#) on new Chinese optical transceivers used in data centers, aiming to prevent Chinese components from becoming embedded in the networking backbone of US AI clusters. At the same time, Treasury Secretary [Scott Bessent](#) said that Chinese AI firms could face sanctions or Entity List designations if found to have infringed US intellectual property through model distillation or other means.

In response, on 5 August, China's [Ministry of Commerce](#) said recent US actions violate the consensus reached by the two leaders and harm China's legitimate interests. Beijing responded with a package of measures, including tighter export controls on drones, critical drone components and related dual-use technologies destined for the US, suspension of follow-up inspections by US certification bodies under China's CCC framework, sanctions on Compliance Testing LLC, a national-security investigation into imported printing and copying equipment, and the addition of six US firms to China's entity list. While the drone-related controls are not as strategically essential as rare earths, they could increase supply-chain frictions and costs for US drone manufacturers and defense-related users.

More broadly, the latest developments highlight deepening of US-China tech decoupling. [AI-related products have been a key pillar of China's export strength this year](#). Tighter

restrictions across AI hardware, infrastructure and related supply chains, alongside ongoing US tariff uncertainties and [EU-China trade frictions](#), could pose incremental headwinds to China's export momentum going forward.

Merchandise trade

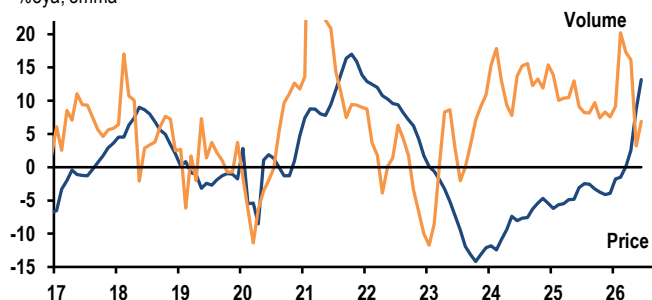
US\$ billion and percent change

	2025	Apr-26	May-26	Jun-26	Jul-26
Exports					
\$ billion	3770.2	359.2	376.4	412.4	397.9
%oya	5.4	14.0	19.3	27.0	23.9
%m/m, sa		7.3	3.5	5.4	-2.9
Imports					
\$ billion	2590.1	274.6	271.2	286.8	285.4
%oya	0.2	25.2	27.4	36.0	27.5
%m/m, sa		2.8	3.5	2.0	-1.5
Trade balance					
\$ billion	1180.2	84.6	105.2	125.6	112.5

Source: Customs Statistics, J.P. Morgan

Exports volume vs. price (US\$)

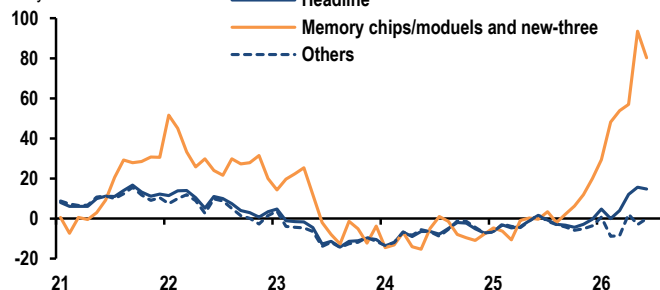
%oya, 3mma



Source: China Customs, J.P. Morgan

Figure x: Export price breakdown (in US\$ terms)

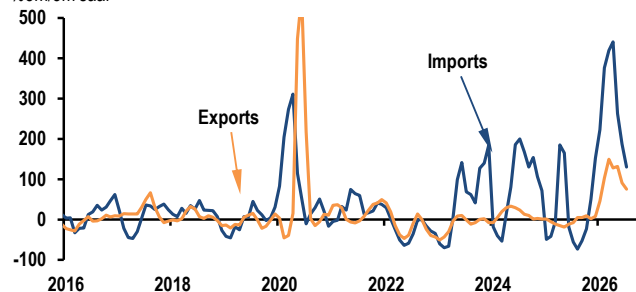
%oya



Source: China Customs, J.P. Morgan

Automatic data processing machines & unit

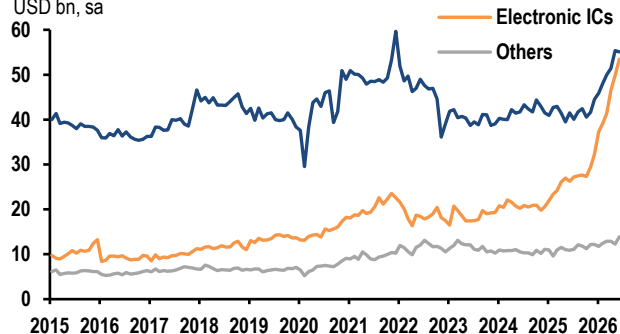
%3m/3m saar



Source: China Customs, J.P. Morgan

China's high-tech exports

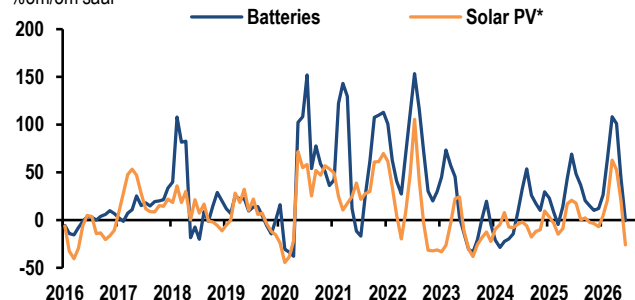
USD bn, sa



Source: China Customs, J.P. Morgan

China battery and solar PV exports

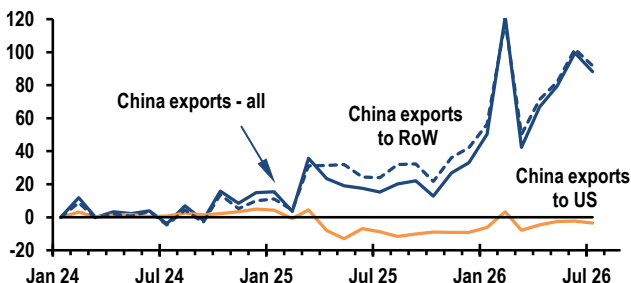
%3m/3m saar



Source: CEIC, J.P. Morgan. *Estimates at HS4-digit level

China exports to US and RoW

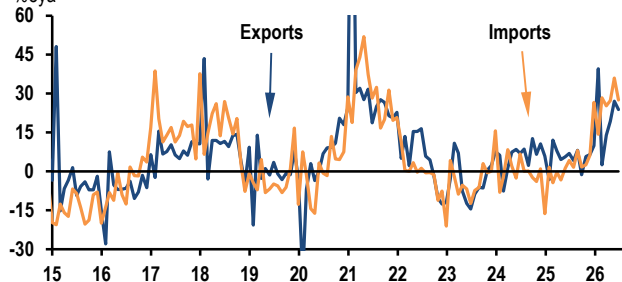
\$bn sa, chg from Jan 2024 level



Source: China Customs, J.P. Morgan

China merchandise trade growth

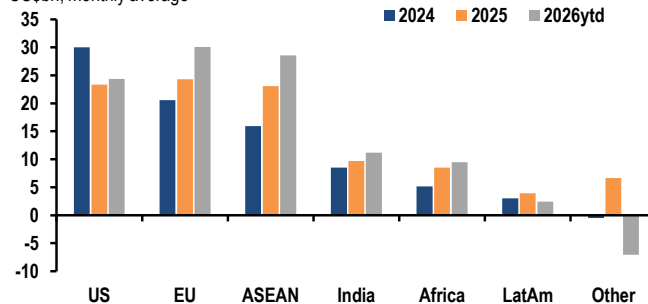
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Source: China Customs, J.P. Morgan

China trade surplus by partner

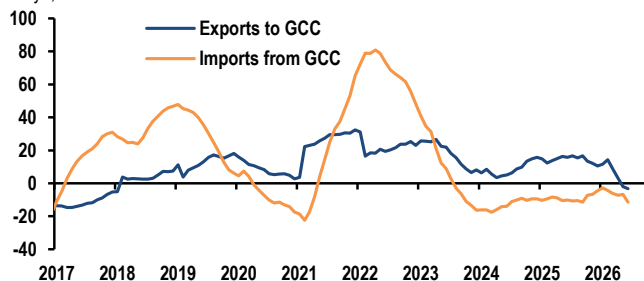
US\$b, monthly average



Source: NBS, J.P. Morgan

China's trade with GCC - growth rate

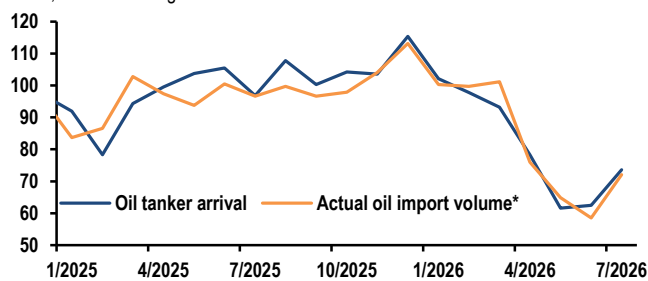
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Source: China Customs, J.P. Morgan

China's oil imports

Index, Jan-Feb 26 avg = 100



Source: IMF, Haver, China Customs, J.P. Morgan. * Includes both crude and refined oil

China exports to US vs. US imports from China

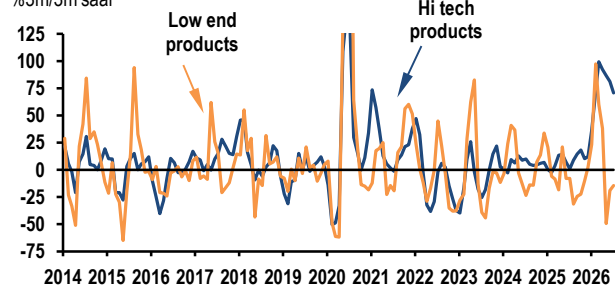
US\$b



Source: China Customs, Census Bureau, J.P. Morgan

China: Major export categories

%3m/3m saar



Source: China Customs, J. P. Morgan

Merchandise exports breakdown

Percent change

		2025	Apr-26	May-26	Jun-26	Jul-26
EU	%oya	8.5	13.4	7.6	18.5	16.0
	%m/m, sa		4.9	-1.1	5.5	-1.4
US	%oya	-19.8	11.3	35.4	13.9	17.0
	%m/m, sa		10.0	5.4	0.6	-2.8
Japan	%oya	3.6	4.0	10.9	6.9	14.0
	%m/m, sa		0.0	4.8	-0.6	-0.2
EM Asia	%oya	10.5	17.7	27.9	36.6	38.3
	%m/m, sa		5.5	7.5	5.7	0.3
Russia	%oya	-10.5	25.7	35.8	38.0	34.9
	%m/m, sa		2.2	7.6	-1.7	1.3
Africa	%oya	25.7	17.3	18.6	28.0	18.2
	%m/m, sa		6.5	4.4	4.3	-2.9
LatAm	%oya	7.4	13.7	6.1	28.4	13.9
	%m/m, sa		13.4	-6.4	11.1	-6.4
Main export product categories						
Low-end consumer goods						
	%oya	-3.8	-1.8	-2.8	5.6	6.5
	%m/m, sa		19.6	0.1	5.8	-2.9
Mechanical and electrical products						
	%oya	8.2	20.3	27.4	34.2	33.8
	%m/m, sa		6.6	5.3	4.1	-0.2
Hi-tech products						
	%oya	7.3	39.2	50.9	52.2	52.7
	%m/m, sa		5.2	8.2	1.6	0.4

Source: China Customs; J.P. Morgan

Merchandise imports by country

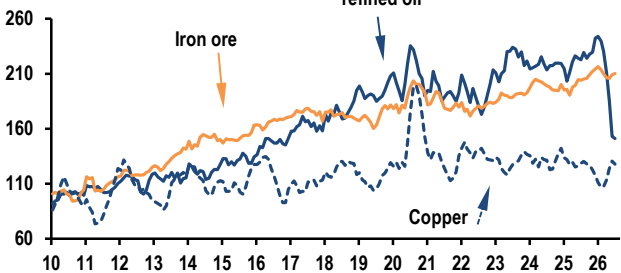
Percent change

		2025	Apr 26	May 26	Jun 26	Jul 26
EU	%oya	-0.4	14.5	-1.3	9.2	-1.4
	%m/m, sa		1.3	-0.1	5.9	-5.7
US	%oya	-14.9	9.0	20.4	25.9	15.3
	%m/m, sa		14.0	2.8	4.0	-2.4
Japan	%oya	5.5	21.0	29.2	33.9	29.3
	%m/m, sa		1.8	2.9	2.7	1.2
EM Asia	%oya	1.4	34.6	38.0	43.9	50.8
	%m/m, sa		6.7	2.9	-1.0	6.4
Brazil	%oya	4.5	38.1	15.5	32.5	17.3
	%m/m, sa		11.6	3.0	6.1	-8.8
Australia	%oya	-1.7	31.5	20.5	65.8	36.8
	%m/m, sa		-6.8	-3.0	14.2	-10.9

Source: China Customs; J.P. Morgan

China commodity import volume

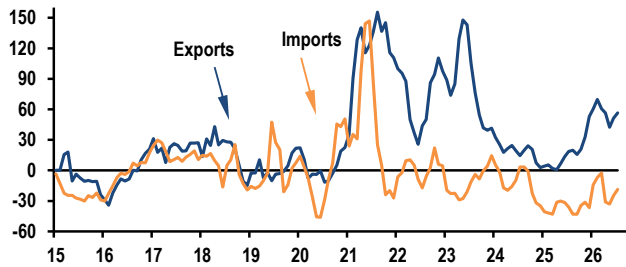
Index, 2010=100, sa, 3mma



Source: General Administration of Customs, J.P. Morgan

China automobile trade

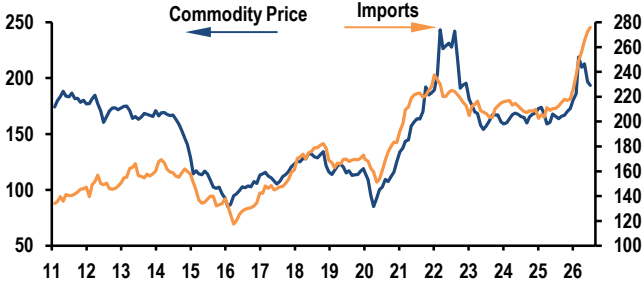
US\$, %oya, 3mma



Source: China Customs, J.P. Morgan

China imports

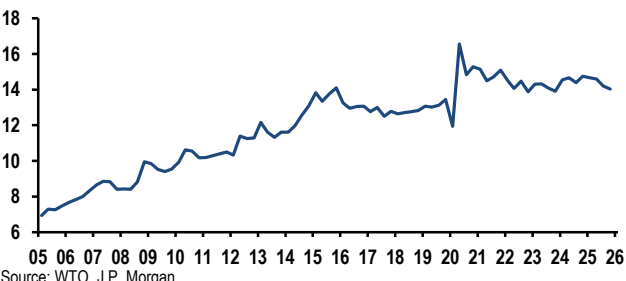
Index, sa



Source: China Customs, IMF, J.P. Morgan

China's share in global exports

%, sa



Source: WTO, J.P. Morgan

Major commodity imports (volume)

percent change

	2025	Apr-26	May-26	Jun-26	Jul-26
Crude Petroleum Oil					
%oya	4.6	-20.0	-29.0	-41.3	-24.3
%m/m, sa		-23.4	-10.3	-15.1	23.3
%m/m, nsa		-23.0	-14.0	-11.5	22.1
Refined Petroleum Products					
%oya	-12.9	-49.3	-58.0	-48.6	-38.6
%m/m, sa		-53.5	-15.7	35.4	43.1
%m/m, nsa		-50.3	-27.9	33.2	42.6
Natural Gas	-3.0				
%oya		-12.9	0.0	3.7	-0.9
%m/m, sa		-1.0	6.9	6.6	-4.0
%m/m, nsa		2.9	20.1	8.1	-3.6
Soybean					
%oya	6.5	39.4	-15.3	10.5	-1.6
%m/m, sa		24.1	4.3	12.8	-9.2
%m/m, nsa		110.9	39.1	14.9	-15.3
Iron Ore					
%oya	1.8	0.7	-0.4	6.4	3.3
%m/m, sa		-0.7	-0.9	6.7	-4.2
%m/m, nsa		-0.8	-5.9	15.3	-4.1
Copper					
%oya	-6.2	3.2	4.3	3.0	-11.5
%m/m, sa		12.8	5.1	-0.8	-10.4
%m/m, nsa		8.8	-1.5	7.3	-11.2
Aluminum					
%oya	4.8	-2.7	-14.3	-16.7	
%m/m, sa		-2.5	-9.7	-17.8	
%m/m, nsa		0.0	-16.7	-16.7	
Coal					
%oya	-9.6	-12.5	-7.7	29.5	20.0
%m/m, sa		-14.7	13.2	15.6	-3.6
%m/m, nsa		-15.3	0.5	28.6	-0.1
Steel Products					
%oya	-11.5	-10.9	-6.3	-6.1	-1.7
%m/m, sa		-5.2	0.3	-3.2	2.4
%m/m, nsa		-9.1	-3.1	-2.2	0.9
Mechanical & electrical products (value)					
%oya	5.0	33.5	38.2	47.5	46.0
%m/m, sa		7.0	6.6	2.2	2.3
%m/m, nsa		4.9	0.3	10.0	5.3
Hi-tech products (value)					
%oya	9.0	41.9	46.8	57.8	58.8
%m/m, sa		8.2	6.4	2.5	4.5
%m/m, nsa		4.5	0.7	10.4	6.9

Source: Customs statistics, J.P.Morgan

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